Presidentially-Connected Firms and the Importance of Regulatory Independence

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ABSTRACT

This symposium essay identifies the concept of presidentially-connected firms and discusses the risks that may occur when they are regulated by officials subject to direct oversight by the President. Using the regulation of stablecoin issuers under the newly-enacted GENIUS Act as an example, the essay describes how a president could abuse the authorities and discretion granted to the Office of the Comptroller of the Currency to benefit presidentially-connected firms. It also describes the risks this settlement poses to those enterprises' customers, competitors, and the wider financial system. It concludes by calling on Congress to enact legislation creating structures that discourage the president's removal of agency officials so as to preserve regulatory independence.

INTRODUCTION

Early in 2025, President Trump and his family co-launched the USD1 stablecoin, which is a financial asset pegged to the value of the U.S. dollar.[1] Soon thereafter, Congress enacted legislation creating a regulatory framework for "payment stablecoins" (which this essay shortens to "stablecoins").[2] These occurrences portend a chilling dynamic: The president or his family may engage in business enterprises strictly regulated by the government, posing risks to those enterprises' customers, competitors, and—when they are financial institutions—the wider financial system.

The details of President Trump's financial interests in USD1 are not fully public, but their contours are roughly outlined by public records and can be extrapolated from other sources. According to disclosures, the USD1 brand is owned by World Liberty Financial, Inc. and affiliates,[3] a company that identifies President Trump as its "Co-

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[1] Tanaya Macheel & MacKenzie Sigalos, *Trump-backed crypto bank joins stablecoin wars with new dollar-pegged token*, CNBC (Mar. 25, 2025), https://www.cnbc.com/2025/03/25/trumps-world-liberty-financial-jumps-into-stablecoin-game-with-usd1-reveal.html ("World Liberty Financial, the decentralized finance venture backed by President Donald Trump and his family, has launched a stablecoin, joining an increasingly crowded market.").

[2] GENIUS Act, Pub. L. No. 119-27 (2025) (henceforth "*GENIUS Act*").

[3] *Home Page*, World Liberty Financial, Inc. (accessed July 10, 2025), https://worldlibertyfinancial.com/. *See also Gold Paper*, World Liberty Financial, Inc. (n.d.), https://static.worldlibertyfinancial.com/docs/us/gold-paper.pdf (describing World Liberty Financial, Inc. as a Delaware non-stock corporation with the "mission … to democratize access to financial opportunities while fortifying the global status of the US Dollar").

Founder Emeritus" and his sons as "Co-Founders."[4] World Liberty Financial has licensed the brand to the firm BitGo, a trust company and money services business.[5] BitGo issues the stablecoin tokens as part of its stablecoins-as-a-service business, and most likely has a revenue sharing agreement with World Liberty Financial.[6] President Trump owns a 28% stake in World Liberty Financial, the evidence of which is described in the appendix. President Trump's other family members own a 12% stake in the firm, which is also described in the appendix.[7]

Although the revenue sharing or licensing agreement between World Liberty Financial and BitGo is not public (if it even exists), information about other such agreements is. The Securities and Exchange Commission disclosed in a lawsuit that the revenue sharing agreement between a stablecoin issuer and a brand owner called for the two to "evenly split the net interest revenue earned on the reserves underlying" the Binance-branded stablecoin.[8] If World Liberty Financial and BitGo maintain a similar 50-50 split on net interest revenue from the USD1 stablecoin, President Trump would receive upwards of $13 million annually, based on recent Treasury bond interest rates of roughly 4.3% and evidence that there is just over 2.2 billion USD1 tokens in circulation.[9] The actual value received by the President, after other expenses, including distribution

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[4] *Meet Our Team*, World Liberty Financial (accessed July 10, 2025), https://worldlibertyfinancial.com/about.

[5] *Home Page*, World Liberty Financial, Inc. (accessed July 10, 2025), https://worldlibertyfinancial.com/.

[6] *Stablecoin-As-A-Service*, BitGo (accessed July 10, 2025), https://www.bitgo.com/stablecoin-as-a-service/ (describing how BitGo allows customers to launch their own stablecoins).

[7] In addition to issuing USD1, World Liberty Financial, Inc. also issues WLFI, the governance token for the WLF protocol. See *Governance*, World Liberty Financial, Inc. (accessed July 10, 2025), https://worldlibertyfinancial.com/governance. Disclosures also provide that a firm President Trump partially owns, DT Marks Defi LLC, receives 75% of the profits World Liberty Financial, Inc. receives from WLFI token sales, which totaled $550 million as of March 2025. *See* MacKenzie Sigalos, *Trump's World Liberty Financial crypto project says it sold $550 million in tokens*, CNBC (Mar. 17, 2025). The Trump family also possess 22.5 billion WLFI tokens. *See About*, World Liberty Financial, Inc. (accessed July 10, 2025) https://worldlibertyfinancial.com/about. Currently WLFI tokens are nontransferable, but if/when that changes, those tokens may be sold for a profit.

[8] *See* Complaint at 78, SEC v. Binance Holdings, 738 F.Supp.3d 20 (D.D.C. 2023) ("Trust Company A and Binance agreed that they would evenly split the net interest revenue earned on the reserves underlying BUSD.").

[9] *See Daily Treasury Par Yield Curve Rates*, U.S. DEP'T OF THE TREASURY (accessed July 10, 2025), https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_yield_curve&field_tdr_date_value_month=202507; *USD1 Price*, COINGECKO (accessed July 10, 2025), https://www.coingecko.com/en/coins/usd1-wlfi.

incentives, could be lower.[10] Of course, if the split is not 50-50, the actual value could be quite different.

Although President Trump does not directly control a stablecoin issuer, the fact that he is the part owner of a firm that likely receives income from one is concerning. In order to facilitate its stablecoin operations, BitGo has applied for a trust bank charter from the Office of the Comptroller of the Currency ("OCC"),[11] an agency headed by an officer who is removable at will by the president.[12] In addition, the recently-enacted GENIUS Act allows BitGo to apply for a stablecoin issuer license from the OCC. President Trump could order the OCC to grant BitGo the trust bank charter and stablecoin-issuer license, even if it does not meet regulatory requirements; only lightly enforce the banking laws and the GENIUS Act against BitGo or not at all; or bring down the regulatory hammer against BitGo's competitors. If the OCC refuses, the President could remove the Comptroller from his position and replace him with someone more compliant.

Although there is no evidence that President Trump made such demands of the OCC, the fact that a president could engage in such an abuse of authority is worrisome. Commands to use the law to benefit BitGo would pose significant risks to holders of USD1 or BitGo's other stablecoins, who would face a heightened risk of loss; competitors, who would be required to participate in the marketplace against an unfairly advantaged competitor; and the financial system, which could transmit the consequences of non-regulation to the real economy. This state of affairs is so

[10] *See Amendment No. 4 to Form S-1: Circle Internet Group, Inc.*, SECURITIES AND EXCHANGE COMM'N 108-09 (June 2, 2025), https://www.sec.gov/Archives/edgar/data/1876042/000119312525132755/d737521ds1a.htm (explaining that Circle paid distribution costs to Coinbase and Binance); Federico Maccioni, *Trump's stablecoin chosen for $2 billion Abu Dhabi investment in Binance, co-founder says*, REUTERS (May 1, 2025), https://www.reuters.com/world/middle-east/wlfs-zach-witkoff-usd1-selected-official-stablecoin-mgx-investment-binance-2025-05-01/ (explaining that an Abu Dhabi investment firm used USD1 for a $2 billion investment in Binance).

[11] *See* Gina Heeb & Vicky Ge Huang, *Crypto Knocks on the Door of a Banking World That Shut It Out*, WALL ST. J. (Apr. 21, 2025), https://www.wsj.com/finance/currencies/crypto-knocks-on-the-door-of-a-banking-world-that-shut-it-out-082b3968

[12] 12 U.S.C. § 2 ("The Comptroller of the Currency shall be appointed by the President, by and with the advice and consent of the Senate, and shall hold his office for a term of five years unless sooner removed by the President, upon reasons to be communicated by him to the Senate.").

worrisome that Senators have requested information from the current Comptroller as to how he "plans to protect the public from the Trump family's financial conflicts."[13]

The same worry exists with regard to President Trump's partial ownership of the Trump Media and Technology Group (TMTG) and the Trump Organization. The former is a publicly-traded firm with stock regulated by the Securities and Exchange Commission (SEC) that has also proposed issuing exchange-traded funds regulated by the SEC,[14] while the latter has launched Trump Mobile, a mobile network subject to regulation by the Federal Communications Commission.[15]

President Trump's involvement with World Liberty Financial, TMTG, and the Trump Organization—as well the possibility for any president to act to benefit hand-selected firms or industries that have provided them with significant campaign contributions or bribes—should spawn discussions about how to curb presidential self-dealing with regard to the regulation of firms in which a president has a financial interest, which this essay identifies as "presidentially-connected firms."[16]

This is a relatively new concern—and one that is different from the ever-present concern regarding presidentially-connected firms receiving business as a form of bribery. Congress has long granted to economic regulators extensive authority, but it protected these regulators from removal by the president in doing so, ensuring that they could act in the public's interest without undue political pressure.[17] Agency independence "refers to the effective autonomy of agencies during their day-to-day regulatory action, after the delegation of regulatory competencies."[18] Accordingly, when regulators approved licenses, initiated enforcement actions, and adjudicated cases, the presumption was that they were enforcing the law uniformly and without fear or favor.

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[13] Letter from Sen. Elizabeth Warren et al., to Jonathan Gould, Comptroller of the Currency (July 31, 2025) at 3, https://www.law360.com/articles/2371872/attachments/0.

[14] *See generally SEC Filings*, TRUMP MEDIA & TECH. GRP. (accessed Aug. 4, 2025), https://ir.tmtgcorp.com/financials/sec-filings/ (providing TMTG's securities filings); Alan Suderman, *Trump Media files for 'Crypto Blue Chip ETF' with SEC*, Associated Press (July 8, 2025) (describing TMTG's plan to issue exchange-traded funds).

[15] *See Home*, TRUMP MOBILE (accessed Aug. 4, 2025), https://www.trumpmobile.com/.

[16] *See* Mara Faccio, *Politically Connected Firms*, 96 AM. ECON. REV. 369 (2006) (describing "politically connected firms").

[17] *See* Jennifer L. Selin, *What Makes an Agency Independent?*, 59 AM. J. POLI. SCI. 971, 973–74 (2015) (explaining that these agencies generally had "statutory limitations or qualifications placed on the officials in the agency's leadership").

[18] MARTINO MAGGETTI, REGULATION IN PRACTICE: THE DE FACTO INDEPENDENCE OF REGULATORY AGENCIES 2 (2012).

This structure—supported by the 1935 Supreme Court decision in *Humphrey's Executor v. United States* and the discretion of presidents since—began crumbling in 2020 and collapsed this year.[19] Whereas *Humphrey's* upheld statutory removal protections for agency officials who engage in "quasi-legislative" and "quasi-judicial" activities, the Court in *Seila Law LLC v. CFPB* held unconstitutional removal protections for the heads of agencies "that wield[] significant executive power and [are] run by a single individual."[20] Then, early in his second term, President Trump terminated the employment of officers historically considered independent, including economic regulators that who were still protected by *Humphrey's*.[21] In response, the Supreme Court has indicated that the only statutory removal protections it will enforce are those covering the Board of Governors of the Federal Reserve System.[22] The result is that regulators "can't just ignore the president's desires" when he calls for them to wield power for the benefit of allies, against opponents, and for personal gain.[23]

This symposium essay describes the consequences of the collapse of the settlement in which economic regulators were considered independent from the president so that they could act for the benefit of consumers, workers, market participants, and the broader economy without political interference. Part I describes how a president could abuse his authority to benefit presidentially-connected firms through the lens of stablecoin regulation. It explains the authorities and discretion granted to the OCC and how those could be exercised for the president's benefit. Part II then describes the risks these actions could pose to customers and competitors of presidentially-connected stablecoin issuers and financial stability. It concludes by calling on Congress to enact legislation creating structures that discourage the president's removal of agency officials so as to preserve agency independence.

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[19] *See*, Humphrey's Ex'r v. United States, 295 U.S. 602 (1935).

[20] Seila L. LLC v. Consumer Fin. Prot. Bureau, 591 U.S. 197, 204 (2020).

[21] *See* Andrea Hsu, *Trump fires EEOC and labor board officials, setting up legal fight*, NAT'L PUB. RADIO (Jan. 28, 2025) (explaining that President Trump "fir[ed National Labor Relations Board] Democratic board member Gwynne Wilcox," among others).

[22] *See* Trump v. Wilcox, 145 S. Ct. 1415 (2025). *See also* Trump v. United States, 603 U.S. 593, 620–21 (2024) (asserting that "[i]nvestigative and prosecutorial decisionmaking is . . . 'conclusive and preclusive' Presidential authority," not authority of the officials who wield those powers).

[23] Hannah Demissie & Molly Nagle, *J.D. Vance arrived in Greenland on Friday for a scaled-back visit*, ABC NEWS (Mar. 28, 2025), https://abcnews.go.com/Politics/jd-usha-vance-mike-waltz-visit-greenland-trump/story?id=120180601 (statement of Vice President J.D. Vance).

I. Biased Regulation of Presidentially-Connected Stablecoin Issuers

Without regulatory independence, a president could abuse his authority over regulators to benefit presidentially-connected firms. One of those regulators is the OCC, which is the principal federal regulator of firms involved in the issuance of stablecoins following Congress's recent enactment of the GENIUS Act. To that end, the OCC could benefit a presidentially-connected stablecoin issuer through its licensing decisions and (un)enforcement of prudential and anti-money laundering regulations.

The GENIUS Act requires stablecoin issuers to be regulated by a state or federal "payment stablecoin regulator" subject to a regulatory framework akin to those of trust companies.[24] In doing so, it makes the OCC the licensor and regulator of federal stablecoin issuers, which includes all issuers with over $10 billion in tokens outstanding.[25] The Act requires the OCC to consider five factors before approving applications: (1) "The ability of the applicant … to meet the [regulatory] requirements" of stablecoin issuers; (2) whether any officer or director is "an individual who has been convicted of a felony offense involving" financial services; (3) "The competence, experience, and integrity of the [issuer's] officers, directors, and principal shareholders;" (4) "the [issuer's] redemption policy;" and (5) "Any other factors … that are necessary to ensure the safety and soundness of the permitted payment stablecoin issuer."[26] The OCC can only deny complete applications if it "determines that the activities of the applicant would be unsafe or unsound based on the [above] factors."[27]

These requirements are ambiguous, allowing the OCC to weigh factors differently for different applicants, as well as to ignore any and all factors that would normally militate against granting a license in order to ensure a presidentially-connected firm is allowed to operate. Whereas the OCC could reject an application because the issuer has a director who is a convicted felon, for example, it could approve another with the same fault because another factor—it says—outweighs the negatives in the director's background.[28] Or, whereas the OCC may normally reject applications that

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[24] *See GENIUS Act* § 3(a) ("It shall be unlawful for any person other than a permitted payment stablecoin issuer to issue a payment stablecoin in the United States.").

[25] *See id.* § 1(25)(D) (providing that the Comptroller is the "primary Federal payment stablecoin regulator" of "Federal qualified payment stablecoin issuer[s]"); *id*. § 4(c)(1) (restricting State qualified payment stablecoin issuers to less than $10 billion outstanding).

[26] *Id*. § 5(c).

[27] *Id*. § 5(d)(2)(A)(i).

[28] *See id*. § 5(c)(2) (requiring regulators to consider, as one factor of whether to approve a stablecoin issuer license, "[w]hether an individual who has been convicted of a felony offense involving

allow issuers to condition redemptions to only those customers possessing over $100,000 in stablecoins, it may grant a license to a presidentially-connected firm with such a policy because doing so in this instance helps "ensure the safety and soundness" of the issuer.[29]

Of course, the OCC's adjudication of stablecoin license applications is subject to the Administrative Procedure Act's prohibition against arbitrary and capricious decision-making.[30] But litigation over any approval may prove difficult if not impossible, as well as injurious to the challengers. First, litigants may not be able to prove improper action on the part of the OCC if the agency crafts its approval in a facially neutral and otherwise persuasive manner.[31] Although courts may authorize discovery to identify whether the approval is pretextual, they will only do so when it appears as though the OCC has not fully disclosed the basis for its action.[32] Second, even if the OCC discloses its bias, litigants would need to prove that considering presidential connections is improper under the five factors—that is, that the connection is not "necessary to ensure the safety and soundness of the permitted payment stablecoin issuer." This is likely to be more difficult than it seems, as the president's willingness to use governmental levers at his disposal to protect this source of income may make a presidentially-connected firm *more* safe-and-sound than otherwise. Lastly, the only potential litigants with standing are likely to be competitors and their trade associations, putting those firms and associations' members in the crosshairs of not only their own regulator but the President of the United States.

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insider trading, embezzlement, cybercrime, money laundering, financing of terrorism, or financial fraud is serving as an officer or director of the applicant").

[29] *See id*. § 5(c)(5) (requiring regulators to consider, as one factor of whether to approve a stablecoin issuer license, "[a]ny other factors established by the primary Federal payment stablecoin regulator that are necessary to ensure the safety and soundness of the permitted payment stablecoin issuer").

[30] 5 U.S.C. § 706(2)(A) (permitting courts to "hold unlawful and set aside agency action, findings, and conclusions found to be … arbitrary, capricious, an abuse of discretion, or otherwise not in accordance with law").

[31] *See* Camp v. Pitts, 411 U.S. 138, 142 (1973) (explaining that, for OCC licensing decisions, "The appropriate standard for review [is] whether the Comptroller's adjudication was 'arbitrary, capricious, an abuse of discretion, or otherwise not in accordance with law[.]'").

[32] *See* Dep't of Com. v. New York, 588 U.S. 752, 781 (2019) (quoting Citizens to Preserve Overton Park v. Volpe, 401 U.S. 402, 420 (1971)) ("On a 'strong showing of bad faith or improper behavior,' [inquiry into decisionmakers' mental processes] may be warranted and may justify extra-record discovery.").

The GENIUS Act also imposes a number of requirements on stablecoin issuers to ensure the stability of their offerings and to prevent them from being used for money laundering that are enforced by the OCC. But, like those applicable to licensing decisions, these requirements may be easily manipulated for the benefit of presidentially-connected issuers.

The Act requires the OCC to impose so-called "prudential" regulations that ensure reserve assets are diversified; that capital requirements are "tailored to the business model and risk profile of permitted payment stablecoin issuers;" that capital buffers are applied when necessary; and that issuers are subject to "operational, compliance, and information technology risk management principles-based requirements and standards," among others.[33] In addition, the OCC enforces Bank Secrecy Act requirements against stablecoin issuers, ensuring that they have "an effective anti-money laundering program" and "monitor[] and report[] … suspicious transaction relevant to a possible violation of law or regulation."[34]

Although the agency cannot write rules for one set of stablecoin issuers that are presidentially-connected and another for those that are not, the enforcement of these rules can be manipulated. Rules can go unenforced. The GENIUS Act does not authorize anyone other than the OCC to enforce these rules against stablecoin issuers, meaning that the OCC's decision to utilize its enforcement discretion to not enforce rules means that they will not apply to presidentially-connected stablecoin issuers. When a regulator declines to bring enforcement actions against a firm, it is impossible for competitors to sue to have the rules enforced.[35] And because, many times, these rules are contrary to the interests of shareholders who would like issuers to take larger risks than what regulators allow, shareholders have no interest in bringing shareholder suits to enforce compliance.[36] To the extent that the OCC simply declines to enforce its rules against presidentially-connected issuers, the rules go unenforced.

Moreover, if the rules the OCC ultimately ends up writing are ambiguous, they would grant the regulator discretion in which enforcement actions to bring, much like

[33] *GENIUS Act* § 4(a)(4)(A).

[34] *Id*. § 4(a)(5)(A).

[35] *See* Heckler v. Chaney, 470 U.S. 821, 831 (1985) ("[A]n agency's decision not to prosecute or enforce, whether through civil or criminal process, is a decision generally committed to an agency's absolute discretion.").

[36] *See* Kandell on behalf of FXCM, Inc. v. Niv, No. CV 11812-VCG, 2017 WL 4334149, at *18 (Del. Ch. Sept. 29, 2017) (describing the "highly unusual set of facts" in which "a Delaware corporation with a business model allegedly reliant on a clear violation of a federal regulation" faced shareholder litigation).

Congress's ambiguous standards governing licensing decisions. Relevant is this regulator's history of writing ambiguous rules. For example, the OCC is authorized to impose individual capital requirements on banks "based in part on subjective judgment grounded in agency expertise,"[37] and penalize banks that lack "internal controls and information systems that are appropriate to the size of the institution and the nature, scope and risk of its activities."[38] With these two authorities, the OCC can impose heightened requirements on firms simply on the basis that it finds doing so necessary to ensure the safety and soundness of those firms. To the extent that the OCC creates a regime whereby it may impose individual capital requirements on stablecoin issuers, or to the extent it decides what constitutes an "effective" anti-money laundering program, it may use those authorities to harm a presidentially-connected firm's competitors.

Beyond requiring the regulation of stablecoin issuers, the GENIUS Act requires regulation of the custodians of the reserves backing stablecoins.[39] Custodians must be subject to regulation by a federal regulator or by a state bank supervisor.[40] Although custodians may choose to be regulated by any of the fifty states or any of several federal regulators, there is a high likelihood of a presidentially-aligned custodian opting for a federal trust bank charter from the OCC.[41] Federal trust bank charters have three benefits for stablecoin custodians over the alternatives. First, the federal charter offers charter-holders the ability to operate with various state consumer protection laws preempted, contra state charters which require charter-holders to comply with the laws of every state in which they operate.[42] Second, a federal charter gives charter-holders a higher likelihood of obtaining a master account with the Federal Reserve than state trust banks.[43] Lastly, it is likely easier for custodians to obtain a federal trust bank charter

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[37] 12 C.F.R. § 3.403.

[38] *Id*. App'x A to Part 30.

[39] *See GENIUS Act* § 10(a) (describing the requirements on who may "engage in the business of providing custodial or safekeeping services for the payment stablecoin reserve").

[40] *See id*. § 10(a)(1) (requiring anyone who "engage[s] in the business of providing custodial or safekeeping services for the payment stablecoin reserve[s]" to be "subject to . . . supervision or regulation by a primary Federal payment stablecoin regulator or a primary financial regulatory agency" or "supervision by a State bank supervisor . . . or a State credit union supervisor".)

[41] *See* 12 U.S.C. § 27(a) (authorizing the Comptroller to limit national banks' activities "to those of a trust company and activities related thereto").

[42] *See* Cantero v. Bank of Am., N. A., 602 U.S. 205, 213 (2024) ("[T]he National Bank Act preempts a state law 'only if' the state law (i) discriminates against national banks as compared to state banks; or (ii) 'prevents or significantly interferes with the exercise by the national bank of its powers[.]'").

[43] The Federal Reserve established guidelines for how Federal Reserve banks should evaluate master account applications that divides applicants into three tiers. *See generally Guidelines for Evaluating Account and Services Requests*, 87 Fed. Reg. 51099 (2022). Federal trust banks are in Tier 2 and "receive an

than to obtain a full-scope federal bank charter because the latter engage in a wider array of activities that the OCC must evaluate.

Given its authority over trust banks, the OCC could benefit presidentially-connected trust banks in ways similar to its benefits to stablecoin issuers. National Bank Act (NBA) provides the OCC with even more deference in the licensing of banks than the GENIUS Act does in the licensing of stablecoin issuers, as the NBA places no restrictions on the OCC's use of its discretion.[44] The OCC has enacted regulations to which it must adhere for all applicants, including those that are presidentially aligned,[45] but these rules currently give the OCC wide latitude and are subject to change by simple rulemaking.[46] Similarly, it could refuse to enforce the law against presidentially-connected trust banks or impose heightened restrictions on those banks' competitors.[47]

Importantly, it is unlikely that any stablecoin holder or competitor could challenge in court the improper actions just described. Token-holders lack any private right of action under either the GENIUS Act or National Bank Act and could not obtain Article III standing to challenge weak regulations even if they could.[48] Competitors may be able to sue if the OCC approves applications that do not meet necessary requirements, but they are unlikely to have the proof necessary to demonstrate non-compliance with the law. Disfavored entities can claim they are the victims of selective

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intermediate level of review," *id*. at 51110, whereas state trust banks are in Tier 3 and "will generally receive the strictest level of review," *id*.

[44] The NBA was originally enacted in 1864 as a free-banking statute, in which any set of individuals who met the statutory requirements were entitled to a charter; the Comptroller had no discretion in the matter. Since then, free banking has gone out of style, being replaced in the post-Great Depression era with the recognition that regulators should have discretion. *See* Banking Act of 1935 § 101, Pub. L. No. 74-305, 49 Stat. 684, 688 (1935) (codified as amended at 12 U.S.C. § 1816) (providing six factors for regulators to consider before granting banks deposit insurance). To that end, the OCC may use whatever framework it wishes when deciding on trust bank applications, subject to the APA's prohibition against arbitrary and capricious actions.

[45] *See* Singh v. DOJ, 461 F.3d 290, 296 (2d Cir. 2006) ("[A]n administrative agency must adhere to its own regulations.").

[46] *See* 12 C.F.R. § 5.20(f) (providing that the OCC will consider, *inter alia*, whether the proposed bank would "[m]aintain[] a safe and sound banking system," "[e]nsur[e] compliance with laws and regulations," and "[h]as competent management").

[47] *See, e.g.*, *id*. § 3.402 ("The OCC may require higher minimum capital ratios for an individual national bank or Federal savings association in view of its circumstances.").

[48] *See* Jacob Cunningham & Todd Phillips, *Banking on* Jarkesy, SSRN at 14–16 (June 3, 2025), https://papers.ssrn.com/sol3/papers.cfm?abstract_id=5280651 (explaining that private rights of action do not exist in the banking laws because "it is practically impossible for members of the public to know when banking regulations are being violated" and because banks' depositors "would be prohibited from suing without the concrete financial losses necessary for Article III standing").

prosecution, but "the courts have set such high hurdles for doing so that almost no one succeeds."[49] When officials decide not to bring cases, prosecutorial discretion ensures that this decision cannot be challenged.[50]

II. RISKS TO CUSTOMERS, COMPETITORS, AND FINANCIAL STABILITY OF BIASED STABLECOIN REGULATION

As Part I discusses in the context of stablecoin issuers, regulators lacking regulatory independence may act to benefit a presidentially-connected firms by relaxing the usual licensing standards and declining to enforce the usual regulatory requirements and increasing regulatory requirements for the firm's competitors. As applied to stablecoin regulation, these actions impose significant risks for customers and competitors of the presidentially-connected firm, as well as for the financial system as a whole.

i. Risks for Customers

Because the GENIUS Act prohibits stablecoin issuers from paying "any form of interest or yield" to stablecoin-holders, stablecoins are expected to be used solely as stores of value and means of payment.[51] The only thing holders expect of their stablecoins, then, is that they will not lose value. Yet when customers hold stablecoins issued by presidentially-connected issuers, they face several significant risks, including the risk of loss. This risk may arise if the issuer invests reserves in risky assets that decrease in value, mismanage reserves against interest rate and other risks, or loses reserves to theft.[52] Although the GENIUS Act contains provisions to address each of these concerns[53] and allows the OCC to enforce them through cease-and-desist actions and imposing heightened capital requirements, the OCC may simply decline to do so against the presidentially connected issuer.

Customers' risks of loss may be made worse if the OCC inadvertently causes a run by failing to effectively enforce the law against a presidentially connected issuer.

[49] Brandon Hasbrouck, *The Just Prosecutor*, 99 WASH. U. L. REV. 627, 643 (2021).

[50] *See* Heckler v. Chaney, 470 U.S. 821, 831 (1985) ("[A]n agency's decision not to prosecute or enforce, whether through civil or criminal process, is a decision generally committed to an agency's absolute discretion.").

[51] *GENIUS Act* § 4(a)(11).

[52] *See Overview of Pillar 2 supervisory review practices and approaches*, BASEL COMM. ON BANKING SUPERVISION (June 2019), https://www.bis.org/bcbs/publ/d465.pdf (describing the various risks banking organizations may face).

[53] *See, e.g.*, *GENIUS Act* § 4(a)(4)(A)(i) (requiring regulators to impose on stablecoin issuers "capital requirements . . . tailored to [its] business model and risk profile").

Say, for example, a presidentially connected issuer demonstrates compliance with the GENIUS Act and all regulations issued thereunder. It then errs, engaging in some activity that is blatantly in violation of law. If the OCC fails to respond as one would expect—that is, it fails to respond as it would to any non-presidentially connected issuer—the public will suspect that the connected issuer is not being held to appropriate legal standards and race to redeem their stablecoins, causing a run. Runs may be made worse if the OCC does not enforce the GENIUS Act's prohibition against rehypothecating reserves, such that these reserves are unavailable when there is heightened redemption demand.

The GENIUS Act does require issuers to provide to the public audited financial statements, but this is no panacea. OCC enforcement actions are the only mechanism for enforcing this requirement, and if the OCC declines to enforce other provisions, it may decline to enforce this one as well. Although the lack of audited statements may dissuade commercial stablecoin holders from owning presidentially connected stablecoins, it is unlikely to dissuade retail stablecoin holders who may not know how to read financial statements. For these holders, the OCC is the only source of protection.

Customers also face risks that they may not be able to purchase or redeem their stablecoins on demand, as they expect. Although the GENIUS Act authorizes each stablecoin issuer to have their own redemption processes, the Act requires the OCC to impose operational and information technology standards to ensure that issuers do not face operational problems that affect the ability of the public to purchase or redeem stablecoins.[54] Yet if the OCC does not enforce these standards for a presidentially connected issuer, stablecoin holders may face an inability to purchase or redeem tokens if the technology fails or there are settlement and clearing issues. These may result from smart contract vulnerabilities, errors in high-frequency minting and redemption processes, distributed denial of service attacks and insider threats on issuers' IT infrastructure, and more. When a regulator conducts frequent oversight, these issues are minimized.

ii. Risks for Competitors

Not only do customers face risks from inadequate regulatory oversight of presidentially-connected stablecoin issuers, but these issuers' competitors do as well. If appropriately and broadly enforced, regulation creates a level playing field on which

[54] *GENIUS Act* § 4(a)(4)(A)(iv) (requiring regulators to impose on stablecoin issuers "operational, compliance, and information technology risk management principles-based requirements and standards").

firms may compete by offering the best prices and services, rather than by engaging in unfair or unsafe practices.[55] If only some stablecoin issuers must follow the law, they face higher costs and cannot effectively compete against their presidentially-connected competitor, allowing the latter firm to undercut their prices and offer greater services at the expense of safety and soundness.

Take, for example, stablecoin issuers' requirements under the Bank Secrecy Act, including the requirements that issuers maintain effective anti-money laundering, customer identification, and economic sanctions compliance programs and report suspicious transactions to law enforcement.[56] These programs and reporting requirements are burdensome. Financial institutions submitted 4.7 million suspicious activity reports in fiscal year 2024 (averaging 12,870 filings per day).[57] Each report requires an average of 21.41 man-hours to complete,[58] and failure to report or reporting less detail than regulators expect can result in fines or criminal liability.[59] A firm that is exempt from Bank Secrecy Act requirements by virtue of their connection to the president need not spend the associated costs, while its competitors must.

The mirror image is also possible, whereby regulators impose heightened requirements on competitors of a presidentially-connected stablecoin issuer beyond what would be reasonable in order to benefit the latter. If the OCC promulgates rules with ambiguities—for example, that a stablecoin issuer's capital ratio must be appropriate in light of the particular circumstances of the institution[60]—it may raise required capitalization levels on competitors of the presidentially-connected firm. The

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[55] *See* Alan D. Morrison & Lucy White, *Level Playing Fields in International Financial Regulation*, 64 J. FIN. 1099 (2009).

[56] *See GENIUS Act* § 4(a)(5) (imposing Bank Secrecy Act requirements on stablecoin issuers").

[57] YEAR IN REVIEW FOR FISCAL YEAR 2024, FINANCIAL CRIMES ENFORCEMENT NETWORK 3 (2025), https://www.fincen.gov/sites/default/files/shared/FinCEN-Infographic-Public-2025-508.pdf.

[58] Letter from Gregg Rozansky et al. to Policy Division, Financial Crimes Enforcement Network (July 1, 2024), https://bpi.com/trades-urge-fincen-to-recognize-accurate-estimates-for-the-time-required-to-file-sars/ ("An institution's process is not just the mechanical process of generating, submitting, and storing the SAR. This process includes the time dedicated to investigating the underlying reason for filing a SAR, obtaining and reviewing supporting documentation, conducting a second review, obtaining necessary approvals, documenting the investigation and decision process, and overseeing the process of filing a SAR.").

[59] *See* 31 U.S.C. § 5321 (providing civil penalties); *id*. § 5322 (providing criminal penalties).

[60] *Cf.* 12 C.F.R. § 3.402 ("The OCC may require higher minimum capital ratios for an individual national bank or Federal savings association in view of its circumstances.").

process of writing such regulations is complicated and subject to judicial review,[61] but judges are not experts and are likely to defer to the OCC's determinations of what regulations are necessary to protect the public.[62]

In addition to possibly facing unfair competition and heightened regulatory requirements, a decision by the OCC to not enforce regulations against a presidentially-connected stablecoin issuer can cause harm to competitors if the issuer fails. Banks are subject to contagion, the process in which one firm's negative shocks spill over to others because customers, who do not know the health of any particular institution, rush to withdraw cash from similarly-situated firms.[63] If a presidentially-connected stablecoin issuer fails because the OCC did not effectively regulate the institution, customers of other issuers may also believe that stablecoins are likely to lose value and may rush to redeem their tokens, resulting in runs at those institutions. This could cause well-regulated stablecoin issuers to fail simply because the OCC was determined to not regulate a presidentially-connected issuer.

iii. Risks to Financial Stability

Thanks to the possibility of contagion described above, any decision on the part of the OCC to decline to enforce the law against a presidentially-connected stablecoin issuer poses risks to the stability of the U.S. financial system. The Board of Governors of the Federal Reserve System identified stablecoins as a growing form of runnable assets that is becoming more enmeshed in the financial system,[64] and the Financial Stability Oversight Council explained that stablecoins "represent a potential risk to financial stability because they are acutely vulnerable to runs absent appropriate risk management standards."[65] Researchers equate stablecoins' potential risks to Lehman

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[61] The OCC would initiate cease-and-desist proceedings to require issuers to "take affirmative action to correct the conditions" of undercapitalization. *GENIUS Act* § 6(b)(2)(B). Issuers may appeal these determinations to the federal courts of appeal. *Id*. § 6(b)(4)(B).

[62] *See* Sunshine State Bank v. FDIC, 783 F.2d 1580, 1582-84 (11th Cir. 1986) (stating that in light of the expertise of bank examiners, their judgments in classifying loans are entitled to significant deference).

[63] George G. Kaufman, *Bank Contagion: A Review of the Theory and Evidence*, 8 J. FIN. SERVICES RSCH. 123 (1994).

[64] FINANCIAL STABILITY REPORT, BOARD OF GOVERNORS OF THE FEDERAL RESERVE SYSTEM 42–43 (2025), https://www.federalreserve.gov/publications/files/financial-stability-report-20250425.pdf.

[65] ANNUAL REPORT, FINANCIAL STABILITY OVERSIGHT COUNCIL 8 (2024), https://home.treasury.gov/system/files/261/FSOC2024AnnualReport.pdf.

Brothers and money market funds, the investment bank and investment funds that faced runs during the Global Financial Crisis.[66]

Specifically, stablecoins engage in liquidity transformation, providing on-demand and at-par redemption to stablecoin holders while maintaining reserves that lack such liquidity when sold in sufficient volumes.[67] To that end, FSOC has explained that if stablecoin issuers continue their growth and direct and indirect holdings of Treasuries,[68] one or more stablecoin issuers[69] liquidating U.S. Treasuries at fire-sale prices could cause dislocations in the Treasury market, harming real-economy and financial institutions that rely on Treasuries' stability to fund their operations.[70]

Appropriate regulation can, of course, mitigate or limit this risk,[71] and the GENIUS Act was drafted to enable state and federal regulators to impose appropriate regulations on stablecoin issuers. Among other provisions, it requires stablecoins' reserve assets to be diversified so that no one asset will see significant liquidation in the face of mass stablecoin redemptions,[72] and it allows regulators to supervise issuers to ensure that they have appropriate risk-management practices in place so that mass

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[66] Srichander Ramaswamy, *Stablecoins: Business Model, Systemic Risks and Policy Perspectives*, SEACEN WORKING PAPER (Apr. 2024), https://www.seacen.org/publications/RePEc/702001-100493-PDF.pdf ("To understand the mechanism and channels through which [systemic stablecoin] risks can propagate, one must simply look to the Lehman bankruptcy and the run on the prime reserve money market fund (MMF) during the GFC."); Kenechukwu Anadu et al., *Runs and Flights to Safety: Are Stablecoins the New Money Market Funds?*, FED. RSRV. BANK BOSTON WORKING PAPER SRA 23-02 (June 2025) ("Similar to the more traditional money market funds (MMFs), stablecoins aim to provide investors with safe, money-like assets. We investigate similarities and differences between these two investment products").

[67] *See* Anadu, *supra* note __ at 1 ("Stablecoins . . . engage in liquidity and risk transformation to provide money-like assets to investors. They issue liabilities with a stable nominal value, but the collateral backing these claims is less liquid and can fluctuate in value.").

[68] Financial Stability Oversight Council, *supra* note __ at 46 ("[S]ince the first appearance of U.S. Treasuries on Tether's attestations in 2021, its direct and indirect holdings have allegedly increased by over 571.57 percent to $102.61 billion.").

[69] *See id*. at 45 (identifying that one stablecoin issuer—Tether—commands roughly 70% of the global stablecoin market).

[70] *See id*. at 46.

[71] *See id*. at 8 (explaining that stablecoins "represent a potential risk to financial stability because they are acutely vulnerable to runs absent appropriate risk management standards"). Banks face the same liquidity transformation risks as stablecoin issuers, and regulators have created a regulatory structure minimizing the possibility that banks will pose systemic concerns.

[72] *See GENIUS Act* § 4(a)(4)(A)(iii) (requiring stablecoin regulators to "issue regulations implementing . . . reserve asset diversification").

liquidations are unnecessary.[73] Yet, the intentional non-regulation of a single stablecoin issuer can nonetheless cause these systemic concerns to come to fruition. A decision by the OCC to not enforce otherwise necessary rules and conduct otherwise appropriate oversight on a presidentially-connected stablecoin issuer could ultimately result in that issuer running, causing other stablecoin issuers to run as a result of contagion, and destabilizing the entire financial system.

CONCLUSION

This essay describes how the entanglement of a president's financial interests with heavily-regulated companies can pose significant risks to customers of those firms, those firms' competitors, and—when they are financial institutions—the whole financial system. Fortunately, these risks are avoidable; just because the Supreme Court has made clear its view that economic regulators as subservient to the President does not mean that Congress or the public must simply live with this state of affairs. Congress may implement legislation that discourages the removal of agency officials, preserving agency independence even absent the authority to prohibit removals in the first place.[74] It must do so.

APPENDIX

This 28% figure comes from a combination of sources, including financial disclosures filed by President Trump and disclosures on the "World Liberty Financial, Inc." website. I come to it via five steps.

First, "World Liberty Financial, Inc." is wholly owned by "WLF Holdco LLC."[75]

Second, "WLF Holdco LLC" is 40% owned by "DT Marks Defi LLC."[76]

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[73] *See id*. § 6 (requiring supervision of federally-regulated stablecoin issuers); *id*. § 7 (authorizing supervision of state-regulated stablecoin issuers).

[74] *See* Christopher J. Walker & Aaron Nielson, *Congress's Anti-Removal Power*, 76 VAND. L. REV. 1, 5 (2023) ("[T]he Constitution itself gives Congress an anti-removal power that is separate from Congress's disputed ability to enact statutory removal restrictions."); Nicholas Bednar & Todd Phillips, *Commission Quorums* at 65 (forthcoming) (explaining that "Congress should consider amending [multimember agencies'] quorum rules to require the presence of certain members with particular qualifications for a quorum to be met" in light of the Supreme Court's decision in *Wilcox*).

[75] *See* Executive Branch Personnel Public Disclosure Report for Donald J. Trump at 23 of Schedule 1 for Part 2 (June 13, 2025), https://www.whitehouse.gov/wp-content/uploads/2025/06/President-Donald-J.-Trump.pdf (page 171 of PDF) (henceforth "Trump Disclosure Report").

[76] *See About*, World Liberty Financial (accessed June 8, 2025), https://worldlibertyfinancial.com/about ("DT Marks DEFI LLC … owns approximately 40% of the equity interests in WLF Holdco LLC"). *But see* Trump Disclosure Report at 23 of Schedule 1 for Part 2 (page 171

Third, "DT Marks Defi LLC" is 1% owned by "DT Marks Defi Member Corp." and 69% by "DTTM Operations LLC."[77]

Fourth, The Donald J. Trump Revocable Trust fully owns both "DT Marks Defi Member Corp." and "DTTM Operations LLC." "DT Marks Defi Member Corp." is fully owned by "DTTM Operations Managing Member Corp.," which is fully owned by "DJT Holdings Managing Member LLC," which is fully owned by "The Donald J. Trump Revocable Trust."[78]

Similarly, "DTTM Operations LLC" is 99% owned by "DJT Holdings LLC" and 1% owned by "DTTM Operations Managing Member Corp." "DJT Holdings LLC" is 99% by "The Donald J. Trump Revocable Trust" and 1% owned by "DJT Holdings Managing Member LLC." "The Donald J. Trump Revocable Trust" fully owns of "DJT Holdings Managing Member LLC," which fully owns "DTTM Operations Managing Member Corp."[79]

Fifth, President Trump fully owns "The Donald J. Trump Revocable Trust."[80]

Because President Trump fully owns "The Donald J. Trump Revocable Trust," which is the ultimate owner of 70% of "DT Marks Defi LLC," which owns 40% of "DT Marks Defi LLC," he likely receives 28% of the revenue of "DT Marks Defi LLC," which receives 100% of the revenue of "World Liberty Financial, Inc."

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Moreover, President Trump's family members own the other 30% stake in "DT Marks Defi LLC."[81] This equates to an additional 12% ownership of "WLF Holdco LLC," which again wholly owns "World Liberty Financial, Inc."[82]

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of PDF) (explaining that, as of year-end 2024, WLF Holdco LLC was 75% owned by DT Marks Defi LLC and 25% owned by Third Parties). President Trump may have sold part of his stake in World Liberty Financial. *See* Jesse Hamilton, *Trumps May Have Sold Platform Stake as U.S. Stablecoins See Wave of Good News*, COINDESK (Jun 20, 2025), https://www.coindesk.com/policy/2025/06/20/as-u-s-stablecoins-see-wave-of-good-news-trumps-may-have-sold-platform-stake.

[77] *See* Trump Disclosure Report at 8 of Schedule 1 for Part 2 (page 156 of PDF).

[78] *See id*. at 3, 8 of Schedule 1 for Part 2 (page 151, 156 of PDF).

[79] *See id*. at 3, 8 of Schedule 1 for Part 2 (page 151, 156 of PDF).

[80] *See* Steve Gelsi & Chris Matthews, *Trump media stock 'DJT' drops as president-elect moves entire $4 billion stake to revocable trust*, MARKETWATCH (Dec. 20, 2024) https://www.marketwatch.com/story/trump-moves-his-4-bln-stake-in-djt-into-a-revocable-trust-and-stock-falls-c0f86fc0.

[81] *See* Trump Disclosure Report at 8 of Schedule 1 for Part 2 (page 156 of PDF) (identifying that "Trump Family Members" own 30% of DT Marks Defi LLC).

[82] *See infra* note __.